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Solution

Bank reconciliation statement as on 31st October 2017

Particulars	Amount `	Amount `
Balance as per cash book		1,688
Add: Bills receivable collected, not entered in cash book	20,000	
Interest on investment collected, not entered in cash book	1,820	
Cheques issued but not presented – Mala	11,780	33,600
		35,288
Less: Cheques deposited into bank, but not yet collected –Nirmala	7,810	
Bills payable paid, not entered in cash book	4,000	11,810
Balance as per bank statement		23,478

8.4.2 Plus or Minus presentation

Bank reconciliation statement can also be presented in an alternative method. In such presentation, two columns are given, one to record items that increase the balance (plus items) and the other one to record items that decrease the balance (minus items). Balances as per the cash book or bank statement are written as the starting balance.

Points to be noted:

(a) Debit balance of cash book is written in the "Plus" column.

(b) Credit balance of cash book (overdraft) is written in the "Minus" column.

(c) Debit balance as per bank statement (overdraft) is written in the "Minus" column.

(d) Credit balance as per bank statement is written in the "Plus" column.

After the causes of difference are written, the two columns (plus column and minus column) are totalled and the difference is ascertained. The difference is the balance/ overdraft as per cash book / bank statement, as per the given starting point.

Balance as per bank statement is arrived by comparing the total of plus amount and the minus amount. If the plus amount is more than the minus amount, then show the difference amount in minus column. This represents favourable balance as per bank statement.

If the plus amount is less than the minus amount, then show the difference amount in plus column. This represents bank overdraft (unfavourable balance) as per bank statement.